I – Changes to Real Property Transfer Tax

Shall the City permanently dedicate half of the transfer tax revenues collected when certain real estate with a value or sales price of more than $10,000,000 changes hands, which will continue to be taxed at rates of 5.5% to 6%, to be spent only on affordable housing, including social housing developments and housing assistance, and exempt certain sales from the dedicated portion of the tax, for an estimated annual revenue decrease of approximately $1 million?

YES	◯
NO	◯

This measure requires 50%+1 affirmative votes to pass.

Digest by the Ballot Simplification Council

The Way It Is Now: The City collects a transfer tax when most real estate changes hands. The tax rates depend on the property's sales price or value and the two highest tax rates are:

- 5.5% for properties between $10,000,000 and under $25,000,000, and
- 6% for properties at $25,000,000 or more.

Some real estate transfers are exempt from the tax or are subject to reduced rates.

Revenues generated from the transfer tax may be spent for any governmental purpose.

The Board of Supervisors (Board) may amend, reduce, suspend, or repeal the transfer tax without voter approval. Voters must approve any increase of the transfer tax.

State law limits the total revenue, including tax revenue, the City may spend each year. The voters may approve increases to this limit for up to four years.

The Proposal: Proposition I would dedicate half of the transfer tax revenues when certain real estate with a value or sales price of more than $10,000,000 changes hands, to be spent only on affordable housing, including social housing developments and housing assistance. Specifically, the measure would:

Transfer Tax

For properties with a sales price or value between $10,000,000 and under $25,000,000:

- Reduce the current transfer tax from 5.5% to 2.75%
- Impose a new transfer tax of 2.75%

For properties with a sales price or value at $25,000,000 or more:

- Reduce the transfer tax from 6% to 3%
- Impose a new transfer tax of 3%

This measure will not increase the tax rate on the transfer of any property above what is charged today.

The same exemptions and tax reductions from the current transfer tax would still apply to the new transfer tax.

The new transfer tax would also exempt the first sale of certain multifamily real estate if it is sold within 5 years of completion of new residential units.

Tax Revenue Spending

The City could spend revenue from the new transfer tax only on:

- At least 60% for affordable housing production, with at least half to social housing developments;
- At least 25% towards the acquisition or rehabilitation of affordable housing, with at least 60% to acquisition of existing housing units; and
- At least 10% to tenant stabilization/homeless prevention programs, with at least half to eviction defense and prevention;

The Board could only change the transfer tax consistent with the purpose of the tax. All other changes would require voter approval.

Proposition I would approve an unlimited number of new affordable housing units for low-income households funded by revenue from the new transfer tax.

Proposition I would require the City to submit annual reports to the Board and Mayor on the use of the new tax revenue.

Proposition I would increase the City's spending limit for four years.

The above statement is an impartial analysis of this measure. Arguments for and against this measure immediately follow.
The full text begins on page 233. Some of the words used in the ballot digest are explained starting on page 62.

A "YES" Vote Means: If you vote "yes," you want to dedicate half of the transfer tax revenues when certain real estate with a value or sales price of more than $10,000,000 changes hands, to be spent only on affordable housing, including social housing developments and housing assistance.

A "NO" Vote Means: If you vote "no," you do not want to make these changes.

Controller's Statement on "I"

City Controller Greg Wagner has issued the following statement on the fiscal impact of Proposition I:

Should the proposed ordinance be approved by the voters, in my opinion, it would represent a moderate annual decrease of approximately $1 million to the City's overall revenues starting in Fiscal Year (FY) 2027-28. However, the ordinance would also shift $120 million per year of existing revenue from the more flexible General Fund to a special revenue fund dedicated to affordable housing programming and support. Because the ordinance would remove existing revenue from the General Fund, it would increase the City's projected General Fund deficit by $120 million annually.

The ordinance would lower the City's General Fund Real Property Transfer Tax rates established by Proposition I in November 2020 and subsequently establish a new Real Property Transfer Tax at near identical rates, which could only be used for specific affordable housing programs. The ordinance would reduce the Real Property Transfer Tax rate on transfers of properties with consideration or value from $10 million to under $25 million from 5.5% to 2.75%, and on transfers of properties with consideration or value of $25 million or more from 6% to 3%. This change would result in a reduction in revenue of $120 million from the City's General Fund, which the City can spend on any government purpose.

At the same time, the ordinance would establish a new Real Property Transfer Tax called the House SF Tax and collect the revenue in a special fund, the House SF Fund, which the City could only spend on specific affordable housing programs. The House SF Tax would tax transfers of properties with consideration or value between $10 million and $25 million at a rate of 2.75%, and transfers of properties with consideration or value of $25 million or more at 3%. The ordinance also includes a new exemption from the House SF Tax for certain recently constructed multi-family housing properties, reducing the collected revenue by approximately $1 million annually, so the proposed House SF Fund would generate approximately $119 million annually.

Because the ordinance would replace existing General Fund taxes with a new dedicated tax, it would limit the City's fiscal flexibility and increase the City's General Fund deficit, most recently projected at $741.7 million and $1.1 billion in FY 2028-29 and FY 2029-30, respectively.

The House SF special revenue fund and tax would represent the City's 24th voter-mandated funding requirement that limits the City's budget flexibility. For context, voter-mandated funding requirements currently total approximately $2 billion, or 30%, of the approximately $7 billion General Fund sources.

The proposed ordinance requires the City to appropriate the House SF Fund in the following ways: (1) no less than 60% must be spent on affordable housing production programs, (2) no less than 25% must be spent on preservation or acquisition programs, (3) no less than 10% must be spent on tenant stabilization or homelessness prevention programs, and (4) no more than 5% may be spent on the departmental administration of the Fund and administration of the House SF Tax.

The proposed ordinance would allow the Board of Supervisors to amend the Real Property Transfer Tax without voter approval only to exempt rent-restricted affordable housing or to make other changes consistent with the stated purposes of the House SF Tax. However, it would remove the existing authority of the Board of Supervisors to reduce, suspend, or repeal the Real Property Transfer Tax without voter approval. The proposed ordinance would also require the Controller's Office to perform an annual audit on the House SF Fund and file it with the Board of Supervisors.

Note that the proposed measure would change the duties of the Controller's Office, which has prepared this statement.

How "I" Got on the Ballot

On July 23, 2026, the Department of Elections certified that the initiative petition calling for Proposition I to be placed on the ballot had a sufficient number of valid signatures to qualify the measure for the ballot.

10,644 signatures were required to place an initiative ordinance on the ballot. This number is equal to 2% of the registered voters at the time a "Notice of Intent to Circulate Petition" was published. A random check of the signatures submitted by the proponents of the initiative petition prior to the July 6, 2026, submission deadline showed that the total number of valid signatures was greater than the number required.

The above statement is an impartial analysis of this measure. Arguments for and against this measure immediately follow.
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